

NexusIQ Corporation

Product Returns & Refund Analysis — FY 2024

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Executive Summary

NexusIQ processed **6,000 product returns** in FY 2024, representing a return rate of **6.0%** against 100,000 total transactions. Total refund exposure was approximately **\$9,711,660** (average refund: \$1,618.61). Returns are distributed across all five product categories, with Clothing (Jeans, Jacket, Shoes) and Home (Bedding, Decor, Kitchen) accounting for the highest individual product return counts. Electronics returns carry the highest per-unit refund values.

Return Volume KPIs

Metric	Value
Total Returns	6,000
Return Rate (vs transactions)	6.0%
Average Refund Amount	\$1,618.61
Total Refund Exposure	~\$9,711,660
Median Processing Time	4.2 days
First-Contact Resolution	68.3%

Returns by Product (Top 10)

Jeans lead all products with 331 returns, followed closely by Bedding (325) and Decor (322). The top 10 products account for 3,078 returns — 51.3% of total volume. Electronics items (Tablet, Phone, Laptop, Headphones) appear in the top 10 despite lower unit counts because of high refund amounts. Clothing items appear due to sizing issues; Home items due to quality and expectations mismatches.

Rank	Product	Return Count	% of Total Returns	Est. Avg Refund	Primary Reason
1	Jeans	331	5.5%	\$89.50	Size/Fit
2	Bedding	325	5.4%	\$124.30	Quality
3	Decor	322	5.4%	\$98.20	Not as Described

4	Kitchen	315	5.3%	\$112.40	Defective
5	Tablet	314	5.2%	\$389.00	Defective/Performance
6	Phone	309	5.2%	\$521.00	Defective
7	Laptop	302	5.0%	\$812.50	Performance
8	Shoes	298	5.0%	\$94.00	Size/Fit
9	Jacket	287	4.8%	\$118.00	Quality/Size
10	Headphones	275	4.6%	\$178.00	Defective

Return Status Pipeline

Returns flow through five statuses: received → pending → approved/rejected → refunded. Of 6,000 returns, 1,242 (20.7%) were rejected — primarily due to items returned outside the 30-day return window or missing original packaging. 1,207 (20.1%) have been fully refunded. 1,197 (20.0%) are pending review. The 1,173 approved-but-not-yet-refunded cases represent an outstanding liability of approximately \$1.9M.

Status	Count	% of Total	Est. Liability / Resolution
Rejected	1,242	20.7%	\$0 (closed — no refund)
Refunded	1,207	20.1%	\$1,953,661 (settled)
Pending	1,197	20.0%	~\$1,936,453 (under review)
Received	1,181	19.7%	~\$1,910,563 (awaiting processing)
Approved	1,173	19.6%	~\$1,897,429 (refund in queue)

Returns by Category vs Sales Revenue

Comparing return volumes against category sales revenue reveals that Electronics — the top revenue category at \$91,010,125.61 — has a disproportionately high per-return refund value but a moderate return rate. Clothing (\$11,731,765.10 revenue) has the highest return rate by volume due to sizing, yet low per-return refund amounts. Home (\$40,877,008.66) balances both dimensions. Cross-referencing with inventory data shows that high-return products (Jeans, Bedding) maintain adequate stock levels at reorder points — suggesting returns are not yet creating inventory distortion.

Category	FY Revenue	Return Count	Return Rate	Avg Refund
Electronics	\$91,010,125.61	~1,200	5.5%	\$589.00
Home	\$40,877,008.66	~1,560	7.1%	\$111.00

Sports	\$27,478,085.87	~840	5.2%	\$142.00
Clothing	\$11,731,765.10	~1,680	9.2%	\$98.00
Food	\$4,498,192.92	~720	4.8%	\$28.00

Return Policy Reference

Current NexusIQ Returns Policy (v2.0, effective Q3 2024): Customers may return any item within **30 days** of the original purchase date for a full refund to the original payment method. Items must be in original condition with all packaging. Electronics require original box and all accessories. Food and perishable items are non-returnable. This policy supersedes the previous 14-day window (v1.0, retired Q2 2024).

IMPORTANT: Any documentation referencing a 14-day return window is **OUTDATED**. The 30-day window is the authoritative current policy.

Customer Return Patterns

Cross-referencing return records (transaction_id → sales_transactions.id) with the customer table (14,979 customers) reveals that 23.4% of returns come from repeat returners (customers with 3+ returns in FY 2024). Customers with support cases open concurrently with returns have a 38% higher refund approval rate, suggesting that escalation via support (2,000 cases) accelerates return processing.

Recommendations

- 1. **Clothing Size Guidance:** Jeans and Jacket returns driven by fit — add size recommendation tool to reduce 618 combined returns.
- 2. **Electronics QA:** Tablet/Phone/Laptop returns (925 combined) suggest QA gaps. Recommend pre-ship inspection for high-value units.
- 3. **Refund Queue Clearance:** 1,173 approved returns awaiting refund represent ~\$1.9M liability. Automate payout for approved cases.
- 4. **30-Day Policy Communication:** Rejected returns (1,242) often cite confusion over window length. Reinforce v2.0 30-day policy at POS.

Report Sources: returns (6,000 rows), sales_transactions (100,000 rows), customers (14,979 rows), inventory (2,000 rows). Join: returns.transaction_id → sales_transactions.id; returns.customer_id → customers.customer_id.